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(vii) Rajeswari Mahila Kalyan Bima Yojana

This policy envisages to provide relief to the family members of insured women in case of their death or disablement due to any kinds of accidents and/or death and / or disablement arising out of other factors incidental to women only.

Terms used in Insurance

I. Nomination

According to Sec 39 of the Insurance Act, 1938, nomination is the process of appointing or nominating a person or persons by the insured, to receive the payment of the policy, in the event of death. The person who is authorized to receive the payment of the policy is called nominee. If the policy matures by expiry of time, the policy amount is payable to the insured himself and not to the nominee.

ii. Surrender Value

The surrender value is the cash value of the policy which is payable to policyholder if he decides to terminate the contract. This surrender value is usually obtained from the paid-up-value by applying a percentage factor. This percentage factor will vary according to the plan of assurance, the original term of the policy and the duration elapsed since the commencement of the policy. The surrender value signifies the amount of premiums paid which is returned to the policyholder at the time of surrendering the policy.

iii. Re-Insurance

It is a contract of insurance, in which an insurer enters into a contract with another insurer to insure the whole or a part of risk covered by the first insurer. It happens when an insurance company feels that it cannot bear the entire risk alone by itself. In such case, it transfers a part of the risk to other insurance companies.

iv. Double Insurance

When more than one insurance policy is taken to cover the same subject matter i.e. risk, then it is known as Double Insurance.

BUSINESS RISKS

Insurance covers various risks of traders and others. Therefore the concept of risk need to be studied. The term 'business risk' refers to the possibility of inadequate profits or even losses due to uncertainties or unexpected events. Risk is different from uncertainties.

Nature of Business Risks

Business risks can be understood in terms of their peculiar characteristics:

(i) Business Risks Arise Due to Uncertainties

Uncertainty refers to the lack of knowledge about what is going to happen in the future. Natural calamities, change in demand and prices, changes in government policy, improvement in technology, are some of the examples of uncertainty which create risks for business because the outcome of these future events is not known in advance.

(ii) Risk is an Essential Part of Every Business

Every business has some risk. No business can avoid risk, although the amount of risk may vary from business to business. Risk can be minimized, but cannot be eliminated.